

# Harvest Capital-TPG's \$600M Metro Deal Shows Land Financing Has Left the Banking System

The recapitalization signals that scale land debt now lives in private credit, not on bank balance sheets.

The most important number in Harvest Capital and TPG Credit's \$600 million recapitalization of Metro Development Group is not the loan size. It is the lender type. This is not a bank deal. It is a private credit platform that has now committed over \$2.1 billion to residential land and lot development since late 2021.

The transaction is a signal that the commercial banking system has permanently ceded a large slice of acquisition and development lending to institutional credit funds. Metro Development Group is one of the largest master-planned community developers in the country, concentrated in fast-growing Florida markets. The \$600 million facility recapitalizes a portfolio of 10 MPCs and creates a dedicated capital platform for Southeast expansion.

The structure is designed to let Metro accelerate development while managing balance sheet and execution risk. That sounds like a growth story. The capital story is more structural. Banks have been pulling back from land and lot financing for years. Higher interest rates, tighter regulatory scrutiny, and the long-duration, nonrecourse nature of land debt made it a poor fit for balance sheets that prize liquidity and short-term deposits.

Private credit stepped into the gap. Harvest Capital and TPG Credit are not filling a temporary void. They are building a permanent capital solution for an asset class that banks no longer want to own. The \$600 million facility is nonrecourse, which is the standard for land and lot financing but a risk profile that most banks cannot underwrite at scale.

Nonrecourse land debt means the lender's recovery depends entirely on the value of the raw land and the developer's ability to entitle, improve, and sell lots to homebuilders. There is no corporate guarantee. That requires underwriting skill, patience, and a capital base that can absorb timing risk. Private credit platforms have that tolerance. Banks, increasingly, do not. For Metro Development Group, the deal provides something more valuable than cheap capital.

It provides certainty. The facility recapitalizes existing projects and funds future expansion under one structure. That eliminates the refinancing risk that would come with a series of shorter-term bank loans. In a market where lot shortages and high homebuilder demand are compressing development timelines, the ability to hold land through the entitlement and infrastructure phase without a ticking maturity clock is a competitive advantage.

For Harvest Capital and TPG Credit, the deal is a scale play. The platform has now financed over 120 projects representing more than 45,000 residential lots. That scale gives the partnership data, relationships, and underwriting experience that smaller lenders cannot replicate. It also gives them pricing power. As banks retreat further, private credit platforms that can commit \$600 million to a single sponsor become indispensable. Who benefits?



Metro Development Group gets flexible, scaled capital without bank maturity pressure. Harvest Capital and TPG Credit earn a long-duration yield tied to population-growth markets, backed by hard assets with a structural demand tail. Homebuilders get a more predictable lot supply pipeline. Who is exposed? Community and regional banks that still hold land and development loans face growing competition from nonbank lenders with lower cost of capital and longer time horizons.

Developers who rely on bank relationships for land financing may find themselves outbid for prime sites by sponsors with private credit backing. What should the market watch next? The migration of land and lot financing from banks to private credit is not a cyclical shift. It is a structural one. The next signal will be whether private credit platforms begin to securitize these loans, creating a new asset class for institutional investors.

If that happens, the banking system's role in residential development will shrink further, and the cost and availability of land capital will be set by credit funds, not bank loan committees. The \$600 million is not just a recapitalization. It is a marker that land financing has left the banking system. The question is whether it ever comes back.

# About Us

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Light Tower Group is a commercial real estate capital advisory firm helping owners, developers, and investors structure and source debt, preferred equity, joint venture equity, and other institutional capital solutions.

We work across acquisitions, refinancings, recapitalizations, and development projects, with a focus on clear strategy, credible execution, and capital that fits the deal.

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